

Cash Earnings per Share

It is often argued that the earnings per share is not a proper measure of the earning of a company since depreciation, tax and the cost of finance varies from one company to another. The true earnings, the argument goes on, should be calculated on the earning before depreciation, interest and tax. The cash earning per share is arrived at by dividing earning before depreciation, interest and tax (EDBIT) by the weighted average number of shares issued.

The cash earnings per share will always be more than the earnings per share.

$$\text{Cash earnings per share} = \frac{\text{EDBIT}}{\text{Weighted average number of shares issued}}$$

Illustration

The summarised Profit and Loss Account (Income Statement) of Nikhila Chips Ltd. for the latest financial year was as follows:

	<i>Rs. (lakh)</i>	<i>Rs. (lakh)</i>
Sales		5,000
Cost of goods sold		<u>3,000</u>
Gross Income		2,000
Selling costs	300	
*Administration Expenses	<u>200</u>	<u>500</u>
Net Income		<u>Rs. 1,500</u>

*Administration expenses includes interest costs of Rs. 40 and depreciation of Rs. 20.

The company had issued 500,000 shares of Rs. 10 each.

The cash earning of a share in Nikhila Chips Ltd. would therefore be:

$$\frac{1500+40+20}{500} = \text{Rs. } 3.12$$